

Telecom Customer Insights & Retention Analysis

Business Recommendations — Based on Customer Churn Analysis (7,043 customers, IBM Telco dataset)

Overview: Overall churn rate stands at 26.5%. Analysis of contract type, tenure, pricing, support services, and payment method identified clear, actionable drivers of churn. The recommendations below target the highest-impact customer segments to reduce churn and improve retention.

1	Convert month-to-month customers to annual contracts Finding: Month-to-month churn is 42.7%, versus 11.3% for one-year and 2.8% for two-year contracts. Recommendation: Offer a limited-time discount or bonus data/perks for switching to a 1- or 2-year plan, targeted at month-to-month customers in their first year.
2	Strengthen onboarding in the first 12 months Finding: New customers (0-12 months tenure) churn at 47.7%, dropping sharply as tenure increases. Recommendation: Introduce a structured onboarding journey — 30/60/90-day check-ins, proactive support outreach, or an early-tenure loyalty incentive — to get customers past the highest-risk window.
3	Bundle support services for at-risk customers Finding: Customers without Tech Support or Online Security churn at ~42%, versus ~15% for those who have either service. Recommendation: Offer a free trial of tech support/security add-ons for at-risk segments, especially High-Risk New and Price-Sensitive At-Risk customers, to increase perceived value and stickiness.
4	Address price sensitivity at high charge tiers Finding: Churn peaks at \$70-90/month (37.8%), the highest of any monthly charge bracket. Recommendation: Review pricing and value perception at this tier specifically; consider loyalty pricing, added perks, or tiered retention offers rather than blanket discounts.
5	Encourage auto-pay adoption Finding: Electronic check users churn at 45.3%, versus 15-17% for automatic bank transfer or credit card users. Recommendation: Promote auto-pay sign-up with a small discount or incentive — a low-cost switch that correlates strongly with retention.
6	Prioritize retention resources on the two riskiest segments Finding: High-Risk New (59% churn) and Price-Sensitive At-Risk (43% churn) together make up about 38% of the customer base. Recommendation: Focus retention campaigns on these two segments first — the highest impact per dollar spent, since they are both large and highly actionable.